

OFFER

Formation of a contract: *Does the contract exist?*

- Parties in agreement (Offer and acceptance)
- Consideration
- Intention to create legal relations
- Capacity

Contracts **do not** need to be in writing, can be made orally.

Exception – important contracts that must be in writing:

- Contracts to Sell Land
- Contracts of Guarantee
- Consumer Credit Agreements

Key types of contracts:

Bilateral contract = one person makes the offer and other person says that they accept. – there is an **exchange of promises**.

Unilateral contract = one person makes a promise to do something in return for the **performance of a prescribed act**.

Collateral contract = where there is a contract between two parties, a separate (collateral) contract may exist which **relates to the original contract**.

MAKING AN OFFER:

The parties will be in agreement when one person **makes an offer** and the receiving party **accepts it** in response.

Offeror = person making the offer.

Offeree = person on the receiving end of an offer.

An offer must:

1. Be certain – **the offeror must know what is being offered**.
2. Be addressed to the Offeree
3. Show intention to create legal relations – **this may be implicit or explicit**.
AND
4. Must be **communicated** to the Offeree (in writing, orally or by conduct)

Types of offers:

- * **Bilateral offers:** offering something in return for a promise. – eg. Andrew promising to sell his car in return for £4,500.
- * **Unilateral offers:** offering something in return for the performance of a prescribed act. – eg. Lily promising to pay £3 million to anyone who finds the cure to cancer.
⇒ **Offer to the world** = when you make an offer that anyone can accept by performance.

INVITATIONS TO TREAT:

If you have an expression that might be an offer but it does **not** fit the criteria of an offer, it is an invitation to treat.

Invitations to treat are an **expression of willingness to negotiate** by inviting offers from others. Because these are not offers, **they cannot be accepted**.

Invitations to treat:

1. Displays of goods
2. Advertisements

Display of goods:

Displays of goods are not offers but merely invitations to treat.

In relation to display of goods, the offer is made by the buyer when they take the goods to the checkout.

Advert:

Advertisements are not offers but merely invitations to treat (inviting customers to make an offer). – **this is because if everyone seeing the advert responded to it, the person who placed the advert would be out of stock soon, but would still be obliged to perform the contract.**

Exceptions:

Unilateral offers:

If the advertisement contains a prescribed act and it is sufficiently clear, it may be a unilateral offer.

Limitless supply:

If an advert is clear, certain and shows an intention to be bound and there is no problem with supply the normal rule would not apply.

Invitations to tender:

By inviting tenders, you are not making an offer.

Invitation to tender = expression of willingness to invite people to make offers with the price. If the invitation to tender is also a unilateral offer, there will be a unilateral contract formed if the prescribed act is performed.

If the invitation to tender sets out that they would accept the highest/lowest bid, then the promisor must do so.

Auctions:

An auctioneer inviting bids is an invitation to treat and the bidders make the offer. The acceptance at the auction is made once the auctioneer drops the hammer. **If a person has made an offer that person is also entitled to revoke that offer** as long as it has not been accepted.

TERMINATING AN OFFER:

An offer will stay open until terminated by:

1. Rejection of the offer
2. Revocation
OR
3. Lapse

An offer cannot be revoked if it has been accepted.

Rejection:

Counter-offer:

Rejecting the original offer and making a new offer.

Example:

If there was an offer for the sale of land, for £1,000. The buyer said that he will pay £995. The seller then sold the land for someone else. When the buyer wanted to force the buyer to sell the land to him for £1,000, the court disagreed as he has already rejected that offer.

Requests for further information:

A request for further information is not a rejection, it is simply asking for clarification of the terms.

Lapse:

An offer may lapse by:

1. Passage of time
2. Death
3. Non-fulfillment of a condition

Passage of time:

Offers only stay open for a reasonable time.

What is reasonable will depend on the circumstances. – eg. if someone makes an offer to you to sell a newspaper for 50p this offer is not going to be open for a whole year. But the offer for a house will likely be reasonable to stay open for longer.

Revocation:

1. **Auctions** – Revocation is effective if it has been done before the offer is accepted.
2. **Only effective once received**
3. **Third party revocation** – An offer can be revoked by a third party if that third party is authorised by the offeror.
4. **Revocation of unilateral offers:**
A unilateral offer is revoked once the act set out in the offer is performed. A unilateral offer may **not** be revoked if someone has started performance.

The offeror cannot prevent the offeree from performing the prescribed act.

Offers to the world:

For announcing revocation, the offeror must use a method similar to how the offer was made.

AGREEMENT

An **agreement forms** when an offer is accepted with intention to create legal relations where both parties had the necessary capacity to enter into the contract.

ACCEPTANCE:

Acceptance must be:

1. A mirror image to the offer
2. Made by the offeree
3. Made in response to an offer
4. Communicated

Communicated:

Silence does not constitute acceptance.

If acceptance is communicated by **conduct**: it is still valid. – eg. In relation to taking out loans, if the person who took out the loan deposits the loan amount in their bank account, this will be acceptance by conduct.

Exception to the rule on communication:

- * **Unilateral offers** – accepted by performance.
- * **Offeror's fault** – The person accepting must ensure that their message goes through.

Prescribed acceptance:

If the Offeror specified what amounts to acceptance, then the Offeree must follow the rules of acceptance. – eg. if the offer states that acceptance happens by saying “yes”, then you cannot accept by saying “I accept”.

The postal rule:

If acceptance has been sent by post, use this rule, unless:

- * Letter was **not properly posted** (not properly addressed/stamped)
- * It was **unreasonable** to accept by post. – eg. a postal strike so the letter won't arrive or the sale is regarding a scoop of ice cream which will melt in the meantime.
- OR
- * The Postal rule was **excluded** by the Offeror.

If accepting via post, then acceptance happens as soon as you put the letter in the letter box.

If the letter was properly posted but **lost or destroyed**, acceptance is still **valid**.

Instantaneous communications:

Use this rule only where acceptance has been sent by email/telex.

The receipt rule: acceptance must have been received. Communication will be deemed received within office hours.

If the message was sent outside of office hours, the message will be deemed received the first thing when the office opened again.

There is no universal rule on office hours, the court will always look at the circumstances of the case.

Prescribed mode:

Use this rule only where the offeror has set out a prescribed method of communication for the acceptance. – eg. **please accept by letter or please don't accept by post.**

Prescribed mode will only be binding if it is explicitly mandatory and rules out all other modes. If the offeror does not rule out any other mode then all he did was state a preference. – eg. ‘Please contact me by telephone, not by email.’ or ‘Please contact me by telephone, and only telephone.’

If the prescribed mode does not rule out other modes, then as long as the other mode is as fast as the prescribed mode, it will be valid. The other method should not disadvantage the offeror.

If the offer was sent by an instantaneous method, it will be implied that the acceptance must be sent by an equally instantaneous method.

If the method was prescribed for the convenience or benefit of the sender then the sender can waive the prescribed method. – eg. if the prescribed method was tracked post, this is always done for the benefit of the sender so that they have a receipt and can see once the post has been received. In this case the sender can simply send the post by normal post, and this will not invalidate the acceptance.

LEGAL INTENTION:

Intention to create legal relations (ICLR) = ‘to create a contract there must be a common intention of the parties to enter into legal obligations, mutually communicated expressly or impliedly.’ – **This is an objective test.**

Presumptions:

Presumptions in law are the starting point and will be upheld unless proven wrong.

In commercial situations:

There is a presumption of ICLR.

Example:

A company hiring a cleaner will likely intend to be in a legal relationship so the cleaner will be able to sue the company if they don't pay her.

If the agreement was made as a social arrangement, there is no ICLR. – eg. **Where the parties promised to divide earnings in a pop group.**

If the contract signed contains a clause saying that there is no ICLR, the court will uphold this even in the business context.

In domestic situations:

There is a presumption of no ICLR.

Example:

A mother asking her daughter to wash the dishes will not likely intend to enter into a legal relationship so the daughter will not be able to sue her mother if she doesn't pay her.

Presumption of no ICLR between married couples.
Presumption of no ICLR between a parent and their child.
Presumption of ICLR between separating couples.
Presumption of ICLR where there was mutuality of obligations.

Previous conduct can rebut the presumption of no ICLR in social settings. – eg. **Friends sharing jackpot winnings in an organized/business-like manner.**

CAPACITY:

A contract entered into by someone without capacity renders the contract voidable by them when the disability ends. – in this case, the person who lacked capacity may choose to **ratify** the contract or leave it (in this case, the contract will be **void**).

People who lack capacity:

1. Minors
2. People with mental incapacity
3. Intoxicated people

Minors:

A contract between an adult and a minor (under 18) is not binding on the minor, unless the minor ratifies the contract once they reach 18.

Exceptions:

1. Contracts for ‘necessaries’:
 - Minors are bound where a contract supplies them with ‘necessaries’, or everyday goods.
 - **Sale of Goods Act 1979** A reasonable price must be paid for goods.
 - **Fancy waistcoats were not necessary for a student who was sufficiently clothed.**
2. Beneficial contracts for service:
Minors are bound where a contract supplies them services which are deemed beneficial to them.
3. Contracts for continuing obligations

Mental incapacity:

Someone will lack capacity if:

1. He is ‘unable to make a decision for himself in relation to the matter at the time the contract is made’
2. It is not relevant whether the impairment is temporary/permanent.
3. He will still be liable to pay for ‘necessaries’/everyday items.

CONSIDERATION

Consideration = an element of exchange, whereby both parties provide **something valuable** to the contract. Consideration is what makes contracts enforceable.

Examples:

- * Promises to provide goods/services.
- * Promises to pay a certain amount.
- * Promises to not sue someone.
- * Promises to not do something.

Two types of consideration:

1. **Executory consideration** – promise to do something in the future. – eg. contacting a massage parlour that they would give you a massage in the future.
2. **Executed consideration** – performing what is due under the contract. – eg. if you turn up at the massage parlour asking for a massage, they could give you the massage immediately and you would then pay either before or after.

RULES OF CONSIDERATION:

The rules of good consideration refer to whether consideration will be legally valid in the circumstances.

Promisor = person making the promise

Promisee = person that is being promised something.

Consideration must:

1. Not be past
2. Move from the Promisee – the Promisee must communicate it.
AND
3. Be sufficient but need not be adequate

Must not be past:

Past consideration = Where one party has already provided a benefit, and that party is now asking for a promise in return for that benefit.

Example:

An aunt provided childcare for her niece in the past is now asking for payment in return for the work she has carried out. At the time when she agreed to care for her niece, she agreed to care for her for free. She can't then turn around and change her mind saying that she now wants payment for that past work.

A promise made after the agreement has formed is not a binding promise.

Exceptions:

- * **It was understood that payment would be due:**

If there was an understanding between the parties that **payment would be due for the services** from the beginning, then the paying party cannot get out of the contract by arguing past consideration. – eg. if the service was provided in the course of a business.

This is the case even if there was no discussion as to the amount that would be due. All that is necessary for good consideration is an understanding that some sort of payment would be due.

- * **Contract made by deed:**

If a contract is made by deed, then the rules of good consideration will not apply. **Any consideration** will be accepted and deemed valid by the court.

Deed = a document set out in a prescribed form.

Must be sufficient (good consideration):

Consideration must be sufficient but need not be adequate.

The law expects both sides on the contract to make some sort of effort as consideration for the contract, they **must provide some value**. – Paying one apple in return for a TV may **not be adequate**. The apple has a lower market value than the TV, however, it is sufficient.

However, **illusory consideration** will not be sufficient. This includes any consideration that is too vague and hard to define and enforce.

Examples of sufficient consideration:

- * Giving up a legal right.
- * Promising not to sue someone.
- * Paying a peppercorn as rent.

NOT sufficient consideration:

- * Giving up complaining
- * Promising to pay at a rate which the promisor will decide at a later date – promisor has too much discretion.

PRE-EXISTING OBLIGATIONS:

Making a promise to do something you are **already obliged** to do is **not** good consideration.

Exceptions:

1. Going **over and above** the existing obligations
OR
2. By entering into an agreement, the paying party obtains a **practical benefit**.

Going over and above:

If the Promisee can show that they have gone over and above their existing obligations, that will count as good consideration. – eg. **this could be done by doing a better job**.

Practical benefit:

If the Promisee agrees with the Promisor to carry out the works **at some time** (without clarification as to when), then the Promisee calls the Promisor and tells him he would pay more to **carry out the works tomorrow**, the Promisee would earn a practical benefit from the agreement. – This would amount to good consideration.

Even though there was already a contract to carry out the works, the works have now become urgent, so you earn a practical benefit from agreeing to do the works **tomorrow rather than at some time in the future**.

PART-PAYMENT OF DEBT:

Example:

You owe me £500. You don't have that money at the moment, but you promise to pay me £500 later on once you have the money. You do have £350 on hand and promise to pay me £350 now to discharge the debt. Is this promise enforceable?

Debtor = the person who owes money.

Creditor = the person who is owed money.

General rule:

Payment that is less than the debt will not discharge the obligation to pay the full amount.

Common law exceptions:

Pinnel's case Promises to accept less can be binding if there is new consideration in the form of a different thing, place or time.

Different thing:

If you want a debt of £500 to be discharged for £350, you need to offer something else in addition, eg. £350 and a cup of tea. It doesn't matter if the new consideration does not need to be adequate, merely sufficient.

Different place:

If you want a debt of £500 to be discharged for £350, you can offer to pay the £350 at the house of the promisor to give him an advantage.

Different time:

If you want a debt of £500 to be discharged for £350, you can offer to pay the £350 at an earlier date.

Promises to accept less can be binding if the payment is made by a third party.

However, if the debtor is in debt because the creditor did work for them and the debtor later finds out that the **work was not done to the standard expected**, then agreeing to pay less will mean that the debtor agreed to **waive their right to litigate** the matter.

PRIVITY OF CONTRACT

GENERAL RULE:

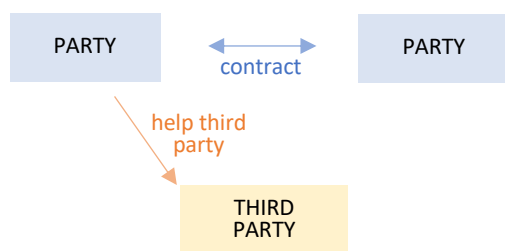
Privity of contract = asks the question **who can sue** under a contract and who can be sued.

Example:

I need my room painted so I reach out to Katy, my gardener and ask her if she could do the work for me. If she agrees to paint my room, then me and Katy will both be parties to the contract.

If she decides not to take on the work, she may refer me to her son, Thomas, the local handyman. If I make a contract with Thomas, then Thomas and I will be parties to the contract. – Katy will not be a party to the contract in this case.

A claimant can only make a claim in relation to a contract if he is the one who has given the consideration.



If there is a contract made between two parties to benefit a third party, that **third party cannot enforce** the benefit they were to receive under the general rules, if the original parties to the contract refuse to perform their obligations.

However, this case will likely fall within the exception under the **Contracts (Rights of Third Parties) Act 1999** which we will look at below.

EXCEPTIONS:

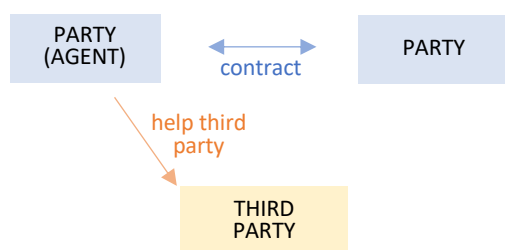
If you have a client who wants to make a claim under a contract to which they are not a party, they must look at whether one of the exceptions apply.

Main exceptions:

1. Trusts
2. Agency
3. Collateral contract
4. Assignment
5. Contracts (Rights of Third parties) Act 1999

Agency:

A third party to a contract may make a claim relying on agency if one of the parties to the contract **acted as their agent**.



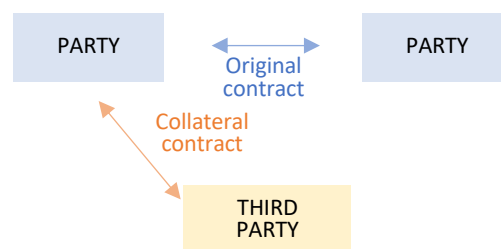
In this case, the agent will simply be **acting on the third party's behalf** and while in theory, the contract is between the agent and the other party, the third party is the true party to the contract.

Once the contract is signed, the agent will not be acting on behalf of the third party and the **third party becomes a party to the contract**.

Collateral contract:

Creative solutions by the courts to avoid the unfair result that is created by strictly following the rules of privity.

The court may find that **there is another contract** which has not been expressly stated between the parties.



In this case, the court must find that **both parties intended for there to be a contract between them**.

Assignment:

If you have a right, **you can assign (pass on) the right** to a third party.

Two parties have a contract. One of the parties then assigns some or all of the rights from his contract to a third party. That **third party can now sue the original party** on the basis of breach of contract if they refuse to pay.

Example:

Thomas paints my room and I owe him £500 for the job he has done. He asks me to pay him £300 and pay £200 to his mother, Katy, as he owed her £200.

In this case, Thomas assigned some of the benefit of the contract to his mother.

Contracts (Rights of Third parties) Act 1999:

Third parties can now sue for a **benefit of the contract**.

Third party will be able to benefit from a contract if: Contracts (Rights of Third Parties) Act 1999

- The contract **expressly provides** that they could
- OR
- The contract purports to **confer a benefit**

However, the act can be expressly **excluded** so look out for clauses excluding it.

Trust:

In some cases, a third party might be able to successfully argue, that the **original party to the contract was holding the promise on trust for them**.

If so, the **third party could instruct the party to the contract to enforce the promise**. Once the money is paid to the party to the contract, that money must be paid to the third party, who will be the beneficiary of the trust in this case.

The word "trust" need not have been used to create a trust in this case.

TERMS

Terms = describe the meaning and effect of a contract by setting out the **rights and obligations** contained within it.

Representations = pre-contractual **statements of fact**. Not terms to the contract. – eg. The horse is not vicious.

Express terms = terms which the parties agreed that they should form **part of the contract**. Typically written terms.

Implied terms = terms that have not been agreed by the parties **expressly** but they also form part of the contract.

EXPRESS TERMS:

Representation or express term?

Look at factors:

1. **Timing:** The longer the time between the representation and signing the contract, the less likely that the representation was meant to be a term.
2. **Importance:** The parties must have placed importance in the truth of the statement. If they did, it is likely that the statement was a term.
3. **Specialist knowledge:**
If one of the parties have specialist knowledge/they are expert in the subject matter of the contract, then the court will usually decide against them.
The court will always make sure that the expert party loses out in these circumstances.
4. **Checks:**
If a seller tells the buyer not to carry out checks, then this is effectively a promise that what they are telling the buyer is true. This does not generally apply to auction sales.

The Parole Evidence rule:

Parole evidence rule = extrinsic evidence may not be taken into account to vary an express written contract. If the contract is in writing, you cannot use what was said around the time of making the contract to deny or dispute the written terms of the contract.

Exceptions:

- **Contracts not wholly written:**
If the contract is one which is part-written, part-oral, then the parole evidence rule doesn't apply.
- **Collateral contracts:**
There was another contract formed, varying or altering the original contract. This other contract might be an oral contract.
- **Onerous terms:**
Onerous terms must be very obvious/pointed out the other party, otherwise invalid.

Entire agreement clauses:

Entire agreement clauses are inserted into the agreement to exclude the parole evidence rule and will be upheld by the court.

IMPLIED TERMS:

The courts/statute **will only imply terms** into the contract if the parties must have intended the term to be a part of the contract, as it was **necessary for business efficacy**.

Implied by the courts:

Different types of implication by the courts:

- * **Implied as a one-off** to ensure business efficacy. – eg. if a car is being sold, the car must have four wheels.
- * **Rules of trade custom** – will be implied terms.
- * **Previous course of dealing** – will imply the terms in the new contract as used in the old contract.

Implied by statute:

Sale of Goods Act 1979:

s.12-15 Sale of Goods Act 1979 Rely on this act if the contract is for the sale of goods and it is a contract between two businesses (Business-to-business).

Implied terms: s.12-15 Sale of Goods Act 1979

- * The seller must have good title to the goods so they are able to legally transfer them to the buyer.
- * The items sold must be of satisfactory quality.

- * The items sold must be fit for the buyer's particular purpose, if the buyer told this to the seller.
- * If the sale is sale by sample: then the goods must correspond with the sample.
- * If the sale is sale by description: then the goods must correspond with the description.

Consumer Rights Act 2015:

Consumer Rights Act 2015 Rely on this act if the contract is for the sale of goods and the buyer is not a business (Business-to-Consumer).

Implied terms:

- * Right to supply
- * Description
- * Satisfactory quality
- * Reasonably fit for a particular purpose
- * Sample

Same provisions as for the SGA 1979 above, just use a different statute.

CLASSIFICATION OF TERMS:

Types of terms:

1. Conditions
2. Warranties
3. Innominate terms

Conditions = a term in the contract that goes to the root of the contract (an important term).

Warranties = a term in the contract that is less important.

Innominate term = a term where it is not possible to tell if the term goes to the root of the contract. – this will become clear **when breach happens**. Once decided whether the term goes to the root of the contract, it will then be treated as a condition or warranty.

Conditions:

The word condition carries a specific legal meaning in this case which is an important term to the contract.

Can be defined by:

- Statute
- The parties
- Courts

Statute:

Sale of Goods Act 1979:

Sale of Goods Act 1979 Rely on this act if the contract is for the sale of goods and it is a contract between two businesses (Business-to-business).

Sale of Goods Act 1979 s.12-15 are all classed as conditions.

s.15A Sale of Goods Act 1979 The breach of these conditions may be treated as a breach of warranty if:

- If both parties are businesses
- There is a slight/technical breach of ss.13, 14 or 15
AND
- Rejecting the goods would be unreasonable

Consumer Rights Act 2015:

Consumer Rights Act 2015 Rely on this act if the contract is for the sale of goods and the buyer is not a business (Business-to-Consumer).

CRA does not classify its terms as either conditions or warranties.

Parties:

- * If a term is defined as a condition in the contract, the courts will give effect to this.
- * If a term is defined as a condition, but this leads to an unreasonable result, the parties must be particularly clear in the contract that this is the result they want.

Courts:

- * **'Expected readiness to load' clause will always be a condition.**
This clause means that one party must inform the other when the ship is in the dock ready for the goods to be loaded onto it.
- * **Time of performance is always a warranty** except when the contract says 'Time is of the essence' in which case it becomes a condition.

EFFECT OF BREACH:

Breach of condition:

The innocent party has a choice (right of election) to:

- Terminate the contract and claim damages
OR
- Affirm the contract and claim damages

Breach of a warranty:

The innocent party can only claim damages.

Breach of an innominate term:

Rights of the innocent party are uncertain. It depends on how the court decides. If the innocent party believes that this was the breach of a condition and decides to terminate the contract, then the other party can sue them for wrongful termination.

VARIATION OF TERMS:

Both parties must agree to the variation, preferably in writing.

Unilateral variation (ie where only one party can make a change) is only valid under specific circumstances if this has been agreed in advance.

Methods of varying a contract:

1. Written variation
2. Oral variation:
Valid, however, it can be difficult to enforce. Making a recording of the oral variation/having witnesses helps enforcement.
3. Variation by conduct:
Often seen in construction contracts or where a contractor has deadlines to meet. However, this can lead to an implied change in the contract.

In some cases, **sustained minor breaches**, if the other party acquiesced (said nothing), may also lead to an implied change of terms, incorporating the conduct amounting to the breach into the contract.
4. Unilateral variation:
Generally invalid. However, if both parties agree in the contract that unilateral variation is an option, then such variation will be valid. This will likely only apply to certain specified terms.

Waiver:

One party may waive (give up) certain rights under a contract for a set period of time. This can be done orally or in writing. Once they have agreed to do so, the waiver is binding.

Sustained minor breach:

If one party consistently accepts minor contractual breaches, and a dispute then arises regarding these breaches, previous acceptance will be taken into account by the court.

EXEMPTION CLAUSES

INTRODUCTION:

Definition:

An exemption clause is a clause that will change a party's obligations to pay damages.

Exemption clauses = 'a term which excludes or modifies an obligation, whether primary [or] general secondary.'

Two types of exemption clauses:

1. **Exclusion clause** – this will exclude liability completely
2. **Limitation clause** – this will limit a party's liability, so that party will only pay a part of the loss.

These types of clauses are put into contracts by a party that has more negotiating power over the other. These are usually seen to be added by large businesses where the consumer is not able to negotiate the terms of the contract as they have weaker bargaining power.

Common law controls:

- * Incorporation
- * Construction

Statutory controls:

- * Unfair Contract Terms Act 1977
- * Consumer Rights Act 2015

INCORPORATION:

In the past, the courts have not been able to cross out clauses that they deemed unfair so when encountering these clauses, they wanted to make sure that these clauses were really a part of the contract and have been properly incorporated.

Incorporation may happen by:

- * Signature
- * Notice
- * Previous course of dealings
- * Trade custom

Incorporation by signature:

General rule:

If an agreement is signed, in the absence of fraud, it will be immaterial whether both parties have read the terms of the agreement.

Exceptions:

1. If there is an overriding oral assurance.
2. If the document given to you is not reasonably expected to have a contractual effect, then it won't. – eg. **Timesheets**.
3. 'Non est factum': if you are incapacitated from understanding what is in the document, you will not be bound even if you signed it.

Incorporation by notice:

Notice = bringing to the attention of the other party what the contract will contain.

Reasonable notice: the party relying on the clause must take reasonable steps to bring the clause to the other party's attention.

Referring to the term is usually enough for the terms to be incorporated.

If the term is particularly onerous terms, then the party relying on the term must take more effort to make sure that the other party understand the term.

Incorporation by previous course of dealings:

If there had been previous dealings between the parties, then it can be assumed that the new contracts will be on the same or at least similar terms to the past contracts.

In order to establish previous dealings:

1. The dealing must be consistent AND
2. Regular – Contracting 3-4 times in 5 year was not regular enough. 5 similar contracts made in 13 months was regular enough. For big contracts, a lower frequency will be enough.

Incorporation by trade custom:

If there is a recognized custom in that industry to use some specific implied terms, the court will take those into account.

Other key considerations:

Timing:

The clause must be a part of the contract before it is signed.
The clause must be shown to a carpark customer before the automatic barrier.

Nature of document:

If the nature of the document is not one to be expected to be legally binding, then it is unlikely to form part of the contract.

CONSTRUCTION:

Would a reasonable person construe the clause as such that it would cover the breach?

The court will interpret the clause using its ordinary, natural meaning. Would the clause cover the breach?

Contra proferentem rule:

If there is any ambiguity in the exemption clause, the clause will be **construed against the person relying on the clause.**

Example:

If there is a clause in a contract for purchasing a car, that the manufacturers limit liability if the car carries a "load in excess of that for which it was constructed", and this is set out to be 5 people, the court will interpret load to mean weight and not the number of people.

When interpreting a clause, the starting point of the court is the **ordinary meaning** of the words.

When excluding liability for negligence, you must state that you are to exclude liability for negligence, otherwise the wording may be construed to mean something else.

If one of the parties purports to exclude negligence, this is not something that the general public would agree to so the wording on this must state that what is being excluded is negligence, otherwise the court will construe it to mean something else.

If the limitation clause in the contract is sensible about the limit, the court is more likely to uphold the clause.

STATUTORY CONTROLS:

First, differentiate between Business contracts and consumer contracts as different rules apply depending on the type of contract you are dealing with.

Business to business – Unfair Contract Terms Act 1977

Business to consumer – Consumer Rights Act 2015

UCTA 1977:

The test under the act is that of reasonableness, not unfairness as the name would suggest.

Scope:

- Only deals with business-to-business contracts
- Only deals with exemption clauses and does not deal with any other terms
- Deals with business liability (contractual and tortious)
- Deals with non-contractual notices – eg. **where the premises have signs trying to limit liability.**

It controls clauses which tries to limit/exclude liability for:

- Negligence
- Breach of a contractual term
- Breach of a term implied by SGA or SGSA

Negligence:

Negligence = is a 'breach of any express or implied contract term to take reasonable care or exercise reasonable skill'.

Eg. A breach of s.13 Supply of Goods and Services Act 1982.

If the term is trying to exclude personal injury or death caused by negligence, the exemption clause will be invalid.

If a term is excluding 'other loss or damage', then the exemption clause must be reasonable in order to be valid – look at **s.11**.

Breach of a contractual term or an implied term:

Breach of a contractual term:

This means express terms.

If the parties are dealing on the basis of standard terms of business, then the reasonableness test in s.11 applies.

If the parties are not dealing on the basis of standard terms of business, and the contract is negotiated, then the court will presume that the terms are reasonable.

If the general terms of the main agreement are not negotiated, even if the other related agreements are negotiated, means contracting on general terms.

Breach of a term implied by SGA or SGSA:

This is an implied term, that **cannot** be excluded/limited.

Breach of any other implied term:

Go through the reasonableness test in s.11.

The Reasonableness Test – s.11:

The test for reasonableness must be considered in the circumstances existing at the time of contracting.

What is reasonable is a question of fact to the court.

Also look at the non-exhaustive list of guidelines in **Schedule 2**.

Schedule 2 Guidelines – indicative ‘Grey List’:

These have a general application to the requirements of reasonableness.

The guidelines include:

- a) The strength of bargaining positions of the parties
- b) Whether the customer received an inducement to agree to the term
- c) Whether the customer knew/ought to reasonably have known of the existence and extent of the term
- d) If exemption clause relies upon some condition not being complied with and whether that was reasonable to expect
- e) Whether the goods were manufactured/processed or adapted to the special order of the customer

Limitation clauses have other rules that apply to them. Court must have regard to resources of the party and whether they had insurance available to them.

The proferens (= party seeking to rely on the clause) must prove reasonableness.

What is reasonable is decided on a case-by-case basis:

There could be no appeals made on reasonableness, the finding of which is at the discretion of the court.

If businessmen dealing with large companies with equal bargaining power would believe that the terms are reasonable, then the courts will not intervene.

Unless the court is satisfied that one of the parties is taking unfair advantage of the other or the terms are so unreasonable that they would not be properly understood/considered, then the court will not interfere with the agreement of the parties.

If the clause is so unreasonable that it contradicts a basic assumption of responsibility.

Definitions:

A party is dealing as a consumer if it is not dealing in the course of its business and the other party is.

A company may be a consumer if the purchase is not integral to their business.

Business = includes a profession and the activities of a public and local authority.

CRA 2015:

Scope:

Only deals with business-to-consumer contracts but applies to any term in the contract, not only exemption clauses.

All terms must be transparent, legible and fair.

Certain exclusions are unfair such as:

- Excluding or limiting liability for **death/personal injury** caused by negligence
- Excluding or limiting the conditions implied by the CRA

If a term is unfair then will not be binding on the consumer.

A term is not binding if it tries to restrict liability for any of the implied terms in the Act:

1. Right to supply the goods
2. Goods of satisfactory quality
3. Goods to be fit for a particular purpose
4. Goods to be as described
5. Goods to match any sample examined

Excluding liability when providing services:

An exemption clause is not binding if it is to exclude trader's liability arising under s.49 for negligently performing the service.

If the clause is only limiting liability for breach of s.49: then it may be binding if it meets the below conditions:

- It does not limit liability for death/personal injury caused by breach of duty of skill and care
- It does not limit liability below the purchase price AND
- It passes the fairness test of the act.

VITIATING FACTORS

Vitiating elements/factors:

- Misrepresentation
- Mistake
- Unfair contract terms
- Duress and undue influence
- Illegality

DURESS:

Duress = 'some form of coercion or threat to the person, property, or to a person's financial interests.'

Example:

Where one person threatens that the other will be harmed, they will damage something they own or make them bankrupt. This last one is a special form of duress called economic duress.

Effect of duress, if proven:

The contract will be **voidable** (different from void), and the court can set it aside.

Voidable = the innocent party has a right to choose whether to keep the contract in place or set it aside. If they choose not to go ahead with the contract and they then make an application to the court, the court will set the contract aside as per their right.

Void = the contract is void from the beginning and the innocent party has no choice whether to keep the contract. Proving mistake will render the contract void (not voidable).

Types of duress:

1. **Duress to the person:**
 - This is their contract was entered into by one party because of threats made to their person.
 - Threat to the person need not be the only reason for entering into a contract, but it must be one of the reasons.
2. **Duress to goods:**
 - This comprises of the unlawful detention of someone's goods.
 - **Test for duress to goods is the 'but for' test.** But for the threat, would the innocent party have signed the contract. This is a higher requirement than we have seen in relation to duress to the person (must be one of the reasons).
3. **Economic duress**

Economic duress:

The test for economic duress: Pakistan International Airline Corp v Times Travel (2021)

1. There is a threat/pressure made to the victim. – they may have other choices, but those choices would not be practical
 2. The threat/pressure is illegitimate, and the Defendant knows it is illegitimate. – pressure must be illegitimate, but differentiate this from rough negotiations which are acceptable
 3. The threat/pressure caused the victim to enter into the contract.
- AND
4. The victim had no reasonable alternative option but to give in to the threat/pressure.

Factors to decide whether there has been illegitimate pressure:

1. Pressure is a threatened breach of contract – if so, likely illegitimate
2. Pressure is applied in bad faith – if so, likely illegitimate
3. The victim protested – if so, likely illegitimate
4. The victim affirmed – if so, unlikely to be illegitimate

The victim protested or did not affirm the contract:

Example:

Protesting after signing the contract is evidence that you were put under pressure to sign the contract. You should protest as soon as possible and the longer you wait the less likely that your protest will be viewed as good evidence.

In particular, the latest you could protest is as soon as the pressure has been lifted.

Waiting for 8 months affirms the contract.

As soon as the invoice is sent, paying the original amount and refusing to pay the rest is a sign of protest.

Significant cause:

This is a 'but for' test. But for the pressure, the victim would not have entered into the contract.

UNDUE INFLUENCE:

An equitable doctrine to ensure that when a party enters into a contract, their decision has not been unduly influenced.

If undue influence is proved, the contract will be voidable and the innocent party may choose to rescind it.

Similar to duress, however, duress is concerned with pressure while undue influence is concerned with **whether the innocent party made their decision through their own free will.**

Types of undue influence:

1. Actual undue influence by overt acts
2. Presumed undue influence as a result of the relationship between the parties.
3. Third-party undue influence.

Actual undue influence:

Undue influence must have been a factor for entering into the contract, however, it need not be the only factor.

Example:

An elderly woman is told by her daughter to sign a contract in relation to a family trust or face legal proceedings. She is afraid of her daughter and dislikes confrontation. Even though the threat is lawful, the contract will be set aside for undue influence.

Presumed undue influence:

Elements of presumed undue influence:

1. A relationship of trust and confidence between the parties.
2. When viewed objectively, the resulting transaction requires an explanation

This relationship will be presumed in fiduciary relationships:

- Parent and child
- Two partners in a partnership
- Doctor and patient
- Solicitor and client

In most other situations, the relationship of trust and confidence must be proven. – eg. in relation to spouses.

Once the presumption of undue influence arises, the burden of proof shifts onto the other party.

ILLEGALITY:

Contracts may be **void** for illegality. – eg. a contract to carry out criminal behaviour is illegal and void.

Contracts illegal by statute:

Where the contract provides for the performance of an act that is against a rule set out in a statute.

Contracts illegal at common law:

- Any agreements to commit a crime is illegal under common law.
- may also be illegal under the provision that sets out the crime.
- Any agreements to commit a tort are also illegal.

Contracts damaging to the government:

Any agreements to trade with the enemy during war times would be illegal.

Contracts that interfere with justice:

Any agreements to conceal a crime would be illegal and also any agreements to undermine the court's jurisdiction.

VITIATING FACTORS – MISREPRESENTATION

INTRODUCTION:

Misrepresentation = a misleading/false statement made to a party to the contract before signing the contract that made then enter into it.

Effect:

Misrepresentation makes the contract **voidable**.

Court may undo the contract by rescission. The remedy of rescission is available for all types of misrepresentation.

Rescission = an equitable remedy that takes the innocent party to the start before the contract was made.

Distinguish from other statement:

- Mere puff
- Terms
- Representations
- Statements of fact – these are somewhere in between mere puff and representations.

ELEMENTS OF MISREPRESENTATION:

Actionable Misrepresentation:

1. Unambiguous – the statement should have only one meaning.
2. False – If the statement is not substantially correct, then it is false.
3. Statement of fact/law
4. Addressed to the party misled (directly or indirectly via a third party)
5. Induces the contract
6. Causes loss

Statement of fact:

'A representation is not an undertaking to do, or not to do something. It is a statement asserting a given state of affairs.'

Examples of statements of fact/law:

Conduct:

- Conduct could amount to a statement of fact.
- Deliberate concealment of a defect amounted to a false statement of fact if the seller did not disclose the defect.

Opinion:

- Opinion could amount to a statement of fact.
- If the party expressing their opinion is an expert or holds out to be an expert, then their opinion will be a statement of fact.

Future intention:

- Future intention is not a fact.
- No duty to inform of change of future intention.
- Dishonest statement of intention will amount to misrep.

Silence:

Silence cannot be a statement of fact. There is no general duty of disclosure.

Exceptions:

- **Contracts uberrimae fidei:** you must disclose all material matter when purchasing insurance.
- **Fiduciary relationships:** you must disclose the truth even if not asked.
- Half-truths = something that is true but gives the wrong impression.
- Continuing representations = something that is true at the time but with the false representation that it will continue to be true.

Is the statement material?

- **Material statement** = statement relating to an issue that would influence a reasonable man.
- **Use the objective test.**
- **If the statement is material – then inducement is inferred.**
- If a reasonable person would be influenced by this statement, then the court will infer that the Claimant was actually induced.
- Inducement is inferred unless Defendant can prove Claimant was not induced (subjective test).
- If the statement is not material – then there was no inducement unless the Claimant proves that they were induced (subjective test).

Inducement:

- The misrep statement need not be the only inducement.
- No inducement if the Claimant did not see/hear the misrep.
- No inducement if the Claimant did not rely on the misrep.

TYPES OF MISREPRESENTATION:

The reason why a Claimant will argue misrepresentation is because they want to get out of the contract (rescission).

Four types:

1. **Fraudulent** – The tort of deceit
2. **Negligent misrepresentation** – **Misrepresentation Act 1967**
3. **Innocent misrepresentation** – **Misrepresentation Act 1967**
4. **Negligent Misstatement** – Tort of negligence, use this if the statement was made by a third party.

Fraudulent misrep:

A false representation is made: knowing it was untrue or without belief in its truth or reckless as to its truth.

Reckless as to the truth of the statement = the person making the statement closing its eyes as to the truth of the statement.

Remedies:

- Rescission, Damages (extensive) and possible indemnity.
- Sometimes rescission is not enough, and damages can be claimed.
- Damages for fraudulent misrepresentation are extensive, meaning that these damages will put the innocent party back into the position before the contract was made.
- If, due to the misrep, the innocent party has accrued responsibilities to pay to another party, then they can also claim indemnities.

Measure of damages is as for the Tort of deceit:

- All loss must be 'directly flowing' from the transaction
- Does not need to be foreseeable
- But cannot be rendered too remote by Claimant

Negligent misrep:

The court is willing to make a finding of negligent misrepresentation.

Elements of negligent misrep:

1. False statement
2. No reasonable grounds to believe in its truth
3. No need for actual negligence

Burden of proof is on the Defendant to show reasonable grounds for belief, effectively disproving negligence.

Remedies:

- Rescission or that is not possible, then damages are possible in lieu of rescission and if applicable, indemnity.
- Calculation of damages is the same as for fraudulent misrepresentation.
- Claim losses that flow from the misrepresentation (not the same as for fraudulent misrep which calculated on losses that flow from the transaction).

Innocent misrep:

The person who made the false statement can prove that they believed that the statement was true and they had reasonable grounds to believe that the facts represented were true. If this cannot be proved, then they will be liable for negligent misrep.

Misrepresentation Act 1967 Burden is on the misrepresenter to prove that he: 'had reasonable grounds to believe up to the time the contract was made that the facts represented were true.'

Remedies:

- Rescission or that is not possible, then damages in lieu of rescission and if applicable, indemnity.
- However, no right to substantive damages so you cannot claim the losses you have accrued. Your best outcome will be rescission.
- **Must inform the other party of intention to rescind.**

Negligent misstatement:

Difficult to prove, only use it if you cannot claim for misrepresentation and you don't need rescission, only damages.

May also use this claim if the false statement that induced you into the contract was not the seller but a third party.

Hedley Byrne v Heller Claimant must prove:

- Reliance reasonably foreseeable
- Relationship of proximity between parties
AND
- Fair, just and reasonable to impose a duty

REMEDIES TO MISREPRESENTATION:

Rescission:

Bars to rescission:

- * **Third party rights:** If a third party acquired rights in the contract innocently, then rescission will not be allowed.
- * **Affirmation:** Even if a person doesn't want the contract, they can affirm it by conduct indicating that they don't wish to rescind.
- * **Impossibility:** Court cannot allow for rescission if it is impossible. – eg. selling a company that no longer exists.
- * **Lapse of time:** Court will not allow for rescission if a long time has passed. – eg. 5 years may be too long.

Indemnity:

Indemnity is relevant if, after entering into the contract, the wronged party wasted money on a service so this amount is to pay off that party.
– eg. if you purchase a car under misrep and then you make a contract for parking arrangements, you can claim indemnity on the parking arrangements.

Indemnity is an equitable remedy.

VITIATING FACTORS – MISTAKE

INTRODUCTION:

Types of mistake:

- **Mutual mistake:** Both parties are mistaken in different ways.

Example:

If one party wants to sell some coke, the drug, and the other person understands coke, the drink.

- **Common mistake:** Both parties are mistaken in the same way.

Example:

If one party wants to sell a car, but while making the sale, the car is burnt down. Both parties are mistaken as to the current state of the car.

- **Unilateral mistake:** Only one party is mistaken.

Example:

If one party is lying about their identity and they know about the lie, but the other party doesn't.

Effect:

Mistake renders the contract void ab initio. The parties believed that they have made a contract but there was never a contract to begin with. This is different from a contract that is voidable, because even if ends up voided, that contract have run from the date it was made until the date it was voided.

Mutual and Unilateral mistake – Finding of mistake may mean that there was no agreement in fact.

Common mistake – Or it may mean that the mistake destroys the nature of the agreement.

The mistaken facts must exist before the conclusion of the contract.

MUTUAL MISTAKE:

There must have been such ambiguity that no agreement could be found.
The test for agreement is objective.

COMMON MISTAKE:

Can arise in two ways, *res extincta* and *res sua*.

Res extincta:

At the time of the contract, both parties believe that the item for sale exists which is not in fact the case.

If there is a mistake as to the existence of goods, that will fall within the claim of common mistake.

Sale of Goods Act 1979 Where there is a contract for specific goods and the goods, without knowledge of the seller, perish, the contract is void.

Res sua:

At the time of the contract, the buyer already owns the thing they are trying to purchase.

Mistake must be operative and affect a fundamental quality of the contract.

Example:

Lever Bros owned a subsidiary in Nigeria. Mr Bell and Mr Snelling were chairman and vice chairman of Lever Bros and they paid them to resign as they did not want them to continue to be officers. Later the company found out that these officers breached their contracts and they could have been fired without payment. The company sued claiming mistake. The claim failed.

Examples:

1. There was an auction of napkins that were said to have belonged to Charles I. Later it turned out that they were not, so their value dropped.

2. There was a painting which was painted by the painter Constable, but it turned out to be wrong. No mistake here, as the court held, the buyer wanted a painting of a cathedral and that is what they have received.
3. There was a ship that was struggling on sea and they made a contract with the Great Peace to help the crew. Later it turned out that the Great Peace was not as close by as they thought they were and wanted to terminate the contract. **Held:** The test was slightly reformulated to be: did the mistake affect an essential quality of the contract.

UNILATERAL MISTAKE:

Unilateral mistake can be made due to the expression of intention.
Unilateral mistake can be made due to the nature of document.

Defence – Non est factum:

Incapacity: where the person signing a document does not understand the nature of the document.

Fraud: if a document is signed by fraud, the party signing will not be held to it. – eg if A man was senile and could not recognize his own signature. He was induced to sign a document by fraud and he was not held to it.

Fraud cannot be argued if there had been negligence. – eg if A lady has lost her glasses prior to signing some documents. The court will find that she was negligent and could not argue fraud.

Fraud: if a document is signed by fraud, the party signing will not be held to it. – eg if A son was buying a farm and the father signed a document to guarantee that his son will be able to pay for the farm. The son actually asked him to sign a guarantee for all of his debts. The father was illiterate.

Unilateral mistake as to identity:

Unilateral mistake as to identity = where one person mistakes the identity of another.

Eg. A person misrepresenting their identity when making a purchase on credit.

Only the identity of the buyer can be essential to the contract, not their credit-worthiness.

Distance sales:

- * In distance sales, the identity of the buyer is what is essential and so mistake will be allowed.
- * Mistake will not be allowed if merely the credit-worthiness of the buyer is essential to the contract.

Face-to-face sales:

- * Mistake will not be allowed if merely the credit-worthiness of the buyer is essential to the contract.
- * If the wronged party looked up the identity of the buyer, then their identity was essential to the contract. – Unlikely to be followed.
- * Mistake will not be allowed if merely the credit-worthiness of the buyer is essential to the contract.

TERMINATION

Every contractual obligation gives rise to a corresponding contractual right. Thus, where the obligation of one party is discharged, the corresponding right of the other party is extinguished.

Where all obligations arising from the contract are discharged, all rights are thus extinguished, a contract is discharged.

A contract may be discharged by:

1. Performance
2. Agreement
3. Breach
4. Frustration.

TERMINATION BY PERFORMANCE:

Entire obligations rule: a contractual obligation is discharged by complete performance. Where the promisor is unable or unwilling to give more than partial performance, there is no discharge of the contract – this is the case especially for lump sum contracts.

Exceptions:

1. **If partial performance is accepted voluntarily by the innocent party,** the party in default will be entitled to a quantum meruit. He must be compensated for the value of the work done without profit.
2. **If the innocent party has no choice but to accept, no payment is due.** This may be due to:
 - * A subsequent binding contract (new contract)
 - * A term in the original contract (condition precedent or condition subsequent)

Condition subsequent:

A contract may contain a condition subsequent upon the occurrence of which obligations are discharged. – eg. “If my son dies, the contract is discharged.” If the event occurs, the contract is automatically discharged. **Facts:** the term of the contract was that the horse must hunt with a prescribed type of hound.

Condition precedent:

A contract may contain a condition precedent upon the occurrence of which obligations would commence – eg. “If my son is born, the contract commences.” If the event never occurs, the contract never comes into existence.

A subsequent binding contract:

- * An agreement to discharge is effective if supported by consideration, if these obligations are wholly executory, then it is a mutual waiver. Only relevant if none of the parties started the performance.
 - * **Pinnel's case** If partially performed, then an effective agreement to discharge is a deed on accord of satisfaction. Part-payment of debt can only be discharged by providing new consideration.
 - * A simple part-performance does not discharge a contract.
3. **An equitable waiver may discharge a contract in certain circumstances.** – eg. the cases on promissory estoppel.
 4. **Performing the obligations in a way that was completely wrong did not amount to substantial performance.**

Other rules:

Divisible obligations will allow the contracted party to receive payment for each obligation completed. If the contract sets out that each individual obligation will warrant the payment of money, then even if not all the obligations are performed, payment will be due. – eg. there is a difference between a contract saying: ‘I will pay you if you paint five paintings’ and ‘I will pay you for each painting.’

Performance by third party is not allowed if the person of the party carrying out the contract is important.

TERMINATION BY BREACH:

Breach of contract = Where a party, without lawful excuse fails or refuses to perform what is due under the contract or performs defectively or incapacitates himself from performing.

Types of breach:

1. **Breach of condition:** In this case, the innocent party has:
 - * “Immediate right of election”
 - * A choice to terminate or affirm the contract
 - * An also claim damages
2. **Breach of warranty:** In this case, the innocent party has the right to sue for damages only.
3. **Breach of an innominate term:** In this case, the innocent party's rights will depend on the seriousness of the breach.

Anticipatory breach:

Anticipatory breach = a type of breach whereby prior to performance one party informs the other they will not fulfill their obligations. In this case, the innocent party should argue frustration.

Anticipatory breach may be express or implied by words or conduct.

Right of election – Affirmation:

When an innocent party is faced with a repudiatory anticipatory breach, he is under no obligation to sue at once, but can elect to affirm the contract and wait for the time of performance.

The innocent party is allowed a period of time to decide between affirmation and termination. If after the affirmation, the other party continues to refuse to perform, the innocent party can revoke the affirmation and terminate the contract.

Once the decision is made, it must be clear and unequivocal.

Obligations and rights remain on both sides, so the innocent party needs to carry out their obligations on their end.

Limitations on affirmation:

- * Where the other party's cooperation is required, affirmation may not be possible. – eg. to let the other party into the gardens to carry out the services.
- * Affirmation is only allowed if the affirming party has a legitimate interest in affirming the contract.
- * Legitimate interest means: not wholly unreasonable.
- * The legitimate interest test will only be applied in ‘extreme cases’. Extreme cases: where it would be unreasonable to affirm and damages would be an adequate remedy.

Risks of affirmation:

- * Advise your client on the risks of affirmations.
- * Client may subsequently breach the contract and may then be sued.
- * Client may subsequently frustrate the contract and lose their rights to damages.

FRUSTRATION:

Frustration is a defence to a claim of breach of contract.

Before going to look at frustration in a question, go through the part on terms of contract where you establish the breach and whether a condition or warranty has been breached. Then look at frustration as a defence.

Definition of Frustration: Law Reform (Frustrated Contracts) Act 1943

- * A supervening event – event arising after the formation of the contract
- * Unforeseeable
- * At no fault of either party
- * Which renders the contract impossible/illegal/otherwise radically different

Effect of frustration: By operation of law, all future obligations will be discharged.

Examples of frustration:

Impossibility:

Destruction of the thing:

1. Destruction of the music hall
2. Destruction of a thing that is closely connected to the contract. – eg. the factory, where machinery should have been installed.

Unavailability of a thing:

1. This is a matter of degree so set out a ration of unavailability. Look at the length of unavailability and how long this is relative to the contract.
2. Unavailability for 5 months out of a 1 year contract was able to frustrate the contract.
3. There was no time limit in the contract, but the contract implied a reasonable time.

4. The time approach is only the starting point of the court.

Unavailability of a person:

1. Incapacity: performer was not able to perform his contract due to being called to service.
2. Death

Illegality:

A contract to do what it has been illegal to do cannot be legally enforceable.

Government intervention:

Where the resources were requisitioned by the government, the contract was held to have been frustrated.

Frustration of purpose:

The 'Coronation cases' However, it must be the common purpose of the parties.

Coronation cases:

1. **Krell v Henry (1903)**
Facts: Henry hired a flat to watch the procession for the king's coronation. The coronation was cancelled so he did not want to pay the rent. The court held that the contract was frustrated. Krell advertised the flat to watch the coronation and the flat was only for day-time hire so this was evidence of his intention.
2. **Chandler v Webster (1904)**
Facts: Chandler hired a ship so that they could watch the king look at the fleet. The court held that the contract was not completely frustrated as the fleet was 'well worth to look at' by itself.
3. **Herne Bay Steamboat (1903)**
Facts: Cab hire ahead of time to make sure that the hirer could get to the racecourse. The court held that the cab did not know why they were taking the hirer to the racecourse and do not usually ask or care.

Leases:

- * Leases can never be frustrated even if someone else is occupying it.
- * There would be some instances when the lease could become frustrated.
- * In principle, leases can become frustrated, but the court will 'hardly ever' make such a finding. When looking at frustration of leases, consider ratio of unavailability to total length of lease.

Not frustration:

Commercial impracticability:

Frustration cannot be used to defend against commercial impracticability.

Example:

Contract to ship ground nuts in November. They were to go through the Suez Canal but the canal was being nationalised. If it was written in the contract that the ship must go through the Suez Canal, then the contract will become frustrated due to impossibility. Also if the goods are perishable then the longer route would not work and a claim would also succeed on frustration.

'Self-induced' frustration:

- * Contracting without having confirmed outcome on the licencing where that is required for the contract is self-induced frustration and not upheld by the court.
- * If the party in breach exercised a choice in any way, they cannot argue frustration.

Event foreseeable:

- * Government intervention such as the introduction of new legislation may be foreseeable if – eg. there are public discussions regarding the intervention.
- * If there is a provision in the contract dealing with the event that happened, then frustration does not apply.
- * Many contracts now contain a force majeure clause which lists common intervening events and suspends the contract on one of the events listed. Other contracts also contain a price variation clause.

Consequences of frustration:

At common law:

Claiming consideration:

In cases of partial failure of consideration, money that has already been paid cannot be claimed back.

Partial failure of consideration = cases where parts of the contract were satisfied.

If there was additional consideration provided, then the full amount will be due.

In cases of total failure of consideration, the amount paid is recoverable.

Expenses:

Expenses incurred before the frustrating event: recoverable only at the court's discretion, however, they must have been incurred in preparation for the performance of the contract.

Expenses incurred after the frustrating event: no recoverable.

Legislation:

If either party achieved a **valuable benefit** after the frustrating event then a 'just sum' may be awarded. – eg. in a building contract, although the building works were not finished, the job was partially completed which the hirer will not have.

Calculate the price of the valuable benefit and the courts will decide what would be fair to award in the circumstances. The courts have a wide discretion.

REMEDIES

ACTING FOR THE CLAIMANT:

Damages that a Claimant may claim:

1. Liquidated damages and penalties
2. Compensation

Liquidated damages and penalties:

Liquidated damages = where the parties agree on the damages in case of a breach beforehand and set it out in the contract.

This is beneficial as the parties will know what to expect and this reduces the risk of potentially paying out a higher amount than what have been agreed. This will also ensure that both parties can take out insurance.

Penalty clauses:

Liquidation clauses could be struck out if they are found to be a penalty clause.

Legitimate interest test: Ask if the detriment to the contract breaker is out of proportion to the legitimate interest of the other party. Look at this in the context of the agreement. You will need to find a legitimate interest of the party for the clause and it will be valid if proportionate.

Compensation:

If there is no valid liquidated damages clause, then 'unliquidated damages' will be calculated.

The aim in the UK is compensation, not punishment.

Damages aim to put the innocent party into the position they would have been in had the contract been performed.

You can claim either expectation loss, reliance loss or restitution.

Expectation loss:

Damages aim to put the innocent party into the position they would have been in had the contract been performed. – Forward looking measure.

3 measures:

1. Difference in value – eg. because of the contract, you have now lost out on money. Having a car worth £3,000 but the car would have been worth £5,000 due to the contract, the innocent party can be awarded £2,000 to reflect the diminution of value.
2. Cost of cure – eg. an amount awarded to reflect how much it would cost to fix the defect.
3. Loss of amenity – eg. an amount awarded to reflect the fact that the Claimant lost access to something.

Ask for the highest amount and any other available options in the alternative.

The court may award loss of amenity if the money to remedy the defect would be disproportionate for the benefit achieved by fixing the problem.

Example:

Mr Forsyth wanted to get a swimming pool built and contracted some builders. He wanted the pool to be 7 foot 6 inches deep. When the works were completed, it turned out to be 6 foot 9 inches deep only.

Contract price	£20,000
Cost of cure	£21,560
Difference in value	£0 – he wouldn't get more money for a deeper pool
Loss of amenity	£2,500

Held: The court was not sure if he was going to use the money to remedy the defect. The amount awarded this way would have also been disproportionate for the benefit achieved by making the swimming pool deeper.

Other examples:

- Farley wanted a peaceful country residence and contracted Skinner to find the ideal property for him. Once he moved in, he realised that the area was very noisy due to airplanes constantly landing nearby. He was also awarded a loss of amenity.
- Loss of amenity is not available in a commercial context.

- McGlinn demolished a property built with cosmetic defects, he then rebuilt it and sued for cost of cure. This was seen as excessive and only loss of amenity was awarded.

Reliance loss:

- * **These losses aim to put the innocent party back in the position had they not made the contract.** – Backward looking measure. You cannot use reliance loss to get out of a bad bargain.
- * Losses that are too speculative will not be allowed under this head of loss. Calculating the amount a Claimant could have made from a project is too speculative and such compensation will not be allowed.
- * Pre-contractual expenses could be allowed by the court if any.

Restitution:

- * **A measure depriving the contract breaker from their profits if they made profits from breaching the contract.**
- * Restitution is only available in exceptional circumstances, where contractual damages would be inadequate.
- * If you breach your contract as you would make a better deal elsewhere, this is allowed, as long as you pay damages.

Damages for mental distress:

This is generally not available.

The innocent party will always be upset when a contract is breached.

Exception:

If the contract was for pleasure/relaxation/peace of mind. Pleasure/relaxation/peace of mind must have at least been a 'major object of the contract'.

Loss of reputation:

Claims for loss of reputation can be allowed.

Loss of chance:

Losing the chance of winning can be claimed.

Quantum meruit:

Paying for partially completed work will usually be only paying for work that had been done.

ACTING FOR THE DEFENDANT:

Limiting damages:

1. **Causation** – D might agree to a breach but argue that the loss was not caused by the breach
2. **Remoteness** – D might agree that the loss was caused by his breach but the loss was too remote
3. **Mitigation** – D might agree that the loss was caused by his breach but claim that C did not mitigate which could have reduced its losses.
4. **Contributory Negligence** – D might argue that his breach of contract was due to negligence and may then say that C was also negligent so he is not responsible for all the damage caused.

Causation:

There must be a causal link between the breach of contract and the loss claimed.

The breach must be an effective cause of the loss.

If there is a novus actus interveniens (break in the chain of causation), the cause that happened closer to the loss will be deemed to cause it.

Example:

A farmer had a trailer which had a faulty coupling. Because of this, it went on the other side of the road and caused an accident. The farmer argued that the loss was caused by the breach of contract by the manufacturer of the trailer.

Held: The loss was not caused by the manufacturers as the farmer knew that the trailer was broken when he decided to use it.

Remoteness:

Some losses are too remote.

Example:

If you fall asleep while driving and drive into another car causing an accident, then even if no one dies, the other driver might end up in hospital. Because he broke an arm and was in hospital, he was not able to do his job as a shelf stacker at Tesco. Because he was not able to work, he lost out on money and was not able to buy his daughter a textbook she needed to study Contract law. Because she did not get the book, she failed the class and gave up on studying law. At some point, these losses will be too remote.

Hadley v Baxendale When looking at remoteness of a loss, apply the two-limb test.

Two-limb test:

1. C can claim for a loss arising naturally in the usual course of things.
Imputed knowledge is required (objective) – eg. mill owners should be expected to keep a second mill shaft.
2. Reasonably in the contemplation of both parties
Actual knowledge (subjective) – What did the parties actually know about? The claimants in this case should have told the defendants at the time of contracting that they did not have another mill shaft.

Must be in the contemplation of both parties at the time of contracting.

The second limb is not satisfied if the other party to the contract did not know about the big contract coming up.

Was the loss one which was 'not unlikely' to occur? If the loss occurred because of a drop in market prices, this was deemed to be unforeseeable.

Mitigation:

Strictly speaking no obligation to mitigate, but losses resulting from failure to mitigate are unrecoverable.

Only reasonable steps are required to mitigate.

No need to litigate to mitigate.

If cost-effective, innocent party may need to renegotiate the contract.

Mitigation not 'weighed in nice scales'. Court will not expect the innocent party to count pennies.

Contributory negligence:

Contributory negligence may be available if the other party or a third party was also negligent and their negligence contributed to the damages caused.

Contributory negligence is available where there is:

- i. Breach of a contractual duty
AND
- ii. The breach is also a tort

Equitable remedies:

Specific Performance:

Specific performance = compelling the other party to perform the contract.

Only in rare cases and when damages would be insufficient.

Specific performance will not be granted if:

1. Performance would cause undue hardship/unfairness to the party in breach
2. Consideration agreed in return for performance is inadequate
3. The innocent party themselves has outstanding obligations under the agreement.
4. The contract is an employment contract/contract for personal services – **the court will not force a person to work for someone.**
5. The order would require court supervision.

Injunction:

To stop a person from doing something. – eg. prohibiting a party from contracting customers.

Rescission

Rectification:

If there is a mistake on the contract, the court can correct the document.

INDEMNITIES AND GUARANTEES:

Indemnities:

Indemnity = a contractual obligation by which one party agrees to keep another protected from a specific loss. Liability under an indemnity arises not because of a breach but because the parties have stipulated that one shall pay another in specified circumstances.

Eg. if A is sued because of the low quality of the product provided by B, B indemnifies A for the lawsuit.

The scope of an indemnity will depend on its wording.

Guarantees:

Guarantee = a contractual promise made by the guarantor to ensure that another person, who is a party to the contract will perform their obligations.

UNJUST ENRICHMENT (RESTITUTION):

Restitution is a concept that is separate from contract law. Restitution exists to prevent unjust enrichment.

Unjust enrichment = one party has obtained a benefit at the expense of another by mistake, duress or undue influence.

Restitution could be an alternative to contractual damages, however, it only applies once the contract has been set aside. Restitution is only awarded if **other remedies are inadequate**.

Requirements: *Awarded to innocent parties only*

1. Innocent party shows a legitimate interest in preventing the other party from keeping any of the profits.
2. The other party must have been enriched/benefited
3. The enrichment must have been at the expense of the innocent party
4. The enrichment must have been unjust
5. There are no defences.

Examples:

1. Work has been carried out but there was no contract
2. One party failed to provide consideration – eg. because one of the parties terminated the contract before they have done anything at all.
3. If a contract is only partially performed, the innocent party then accepts partial performance, however, no price is actually agreed
4. Money paid out by mistake
5. Rescinding a contract where there is an outstanding amount remaining with the wrong party
6. Transfer of property due to threat/pressure
7. Undue influence

Remedies:

- * Money or property
OR
- * An order that the party in breach returns any gains they have made to the innocent party
OR
- * If restitution in relation to services: quantum meruit award – an order requiring payment of reasonable remuneration for the works carried out.
OR
- * If restitution in relation to goods: quantum valebat award.